

## RATING RATIONALE

18 Oct 2019

### SVP Global Ventures Limited

### Brickwork Ratings Reaffirms the ratings for the Bank Loan Facilities of ₹. 74.50 Crores of SVP Global Ventures Limited

#### Particulars:

| Facility**     | Amount (₹ Cr) |         | Tenure                                     | Rating*                   |                                |
|----------------|---------------|---------|--------------------------------------------|---------------------------|--------------------------------|
|                | Previous      | Present |                                            | Previous (December, 2017) | Present                        |
| Fund based     | 74.50         | 74.50   | Long Term                                  | BWR BBB- (Stable)         | BWR BBB- (Stable) (Reaffirmed) |
| Non Fund Based | (23.50)       | (23.50) | Short Term                                 | BWR A3                    | BWR A3 (Reaffirmed)            |
| Total          | 74.50         | 74.50   | INR Seventy Four Crores & Fifty Lakhs Only |                           |                                |

\*Please refer to BWR website [www.brickworkratings.com/](http://www.brickworkratings.com/) for definition of the ratings

\*\* Details of Bank facilities/NCD/Bonds/Commercial Paper is provided in Annexure-I&II

## RATING ACTION / OUTLOOK

BWR has essentially relied upon the company's audited financial results upto FY19, unaudited financials of Q1FY20, projections upto FY20 as well as publicly available information and the information/ clarifications provided by the company.

The rating draws strength from the extensive experience of the promoters in the textile industry, established presence of the Mumbai based ShriVallabh Pittie Group with strong marketing net-work, long standing relationships with clients and suppliers, locational advantages of the unit and synergy from group companies. The rating is, however, constrained by moderate profitability margin, exposure to agro climatic risks, susceptibility of profitability to volatility in raw material prices and working capital intensive nature of operations.

Going forward, the Company's ability to increasing scale of operations, effectively manage its working capital and improve its overall credit profile would be the key rating sensitivities.

BWR believes the SVP Global Ventures Ltd's (SVPGVL) business risk profile will be maintained over the medium term. The 'Stable' outlook indicates a low likelihood of rating change over the medium term. The rating outlook may be revised to 'Positive' in case the revenues and profit show sustained improvement. The rating outlook may be revised to 'Negative' if the revenues go down and profit margins show lower than expected figures.

## KEY RATING DRIVERS

- **Credit Strengths:**
- **Promoter's experience:** The Promoters have extensive experience in the textile manufacturing industry. ShriVallabh Pittie Group is in existence since 1898.
- **Market presence:** The Company, through its group, enjoys established market position and extensive distribution network for its textile products with presence in Rajasthan, Gujarat, Maharashtra, Madhya Pradesh and Tamil Nadu. The group also exports to China, Bangladesh, Pakistan, Vietnam, Portugal, Turkey etc.
- **Group synergy:** ShriVallabh Pittie Group is currently engaged in the business of spinning, manufacturing and selling of polyester and cotton blended yarn. Product portfolio ranges from cotton, blended yarn, open end yarn to superior yarns such as compact yarns. It operates with its 3 manufacturing plants based at Tamil Nadu and 3 units in Rajasthan with total owned capacity of 2,50,000 spindles and 2400 Rotors. SPVGVL is the holding Company for the entire ShriVallabh Pittie Group of Companies and enjoys strong operational, financial and management linkages with its subsidiaries. Key companies of the group include Platinum Textiles Limited (rated BWR BBB/A3 in March 2017), Shrivallabh Pittie Industries Limited, Helios Mercantile Limited etc.
- **Improved profitability:** SVPGVL's operating profit margin stood at 14.87% in FY19 as against 8.96% in FY18 & net profit margin improved to 3.32% in FY19 as against 2.73% in FY18. The improvement in profitability was seen on account of company's decision to stop trading activities & concentrate on manufacturing activities.
- **Credit Risks:**
- **Existing competition:** The company faces stiff competition from well established player in the market which forces the company to operate at competitive margins.
- **Industry risks:** The textile industry is exposed to agro climatic risks and susceptibility of profitability to volatility in raw material prices.

## ANALYTICAL APPROACH AND APPLICABLE RATING CRITERIA



For arriving at its ratings, BWR has assessed the standalone financials of SVP Global Ventures Ltd (SVPGVL) and has applied its rating methodology as detailed in the Rating Criteria detailed below (hyperlinks provided at the end of this rationale).

### **RATING SENSITIVITIES**

**Positive:** Sustained improvement of revenue, profitability, debt protection metrics and liquidity.

**Negative:** Decline in revenue or profitability, debt-funded capital expenditure (capex) which would adversely affect financial risk profile.

### **LIQUIDITY POSITION**

The liquidity position of the company is stretched with average working capital (Cash Credit) utilisation of the company is ~90%. As on 31.03.2019 company had cash and cash equivalents of Rs.21.46 Cr and has a current ratio of 1.54 times. There are term loan debt repayment obligations in the near future and the promoters have extended financial support in the form of unsecured loans.

### **COMPANY PROFILE**

SVP Global Ventures Limited (SPVGVL) was incorporated in 1982 at Mumbai. It is listed on Bombay Stock Exchange. SPVGVL is the holding Company for the ShriVallabh Pittie Group of Companies. The Company is engaged in manufacturing of open-end cotton yarn. The Company has commissioned its open-end spinning unit with 2400 Rotors at RIICO Industrial Area, Dhanodi, Rajasthan. The Company was earlier engaged in trading of textile products and commenced manufacturing activities from March 2017.

Mr. Chirag Pittie is the Managing Director and the other directors are Mr. Praveen Shelly, Ms. Palak Kanaiyalal Bhavsar and Miss Bhumika Ruparelia.

### **KEY FINANCIAL INDICATORS (Consolidated)**

On a consolidated basis, the company achieved TOI of Rs. 1392.71 Crores in FY19 as against Rs. 2492.70 Crores in FY18. The reduction in TOI was on account of management's decision to stop yarn trading completely and focusing on manufacturing in FY19. As of FY20, the Company has started the process of exiting non-core businesses and low margin trading business. As a result, although sales have declined, EBITDA and PAT Margins have improved significantly as the company focuses on higher margin manufacturing activities. As on FY19, company's EBITDA & PAT margin stood at 14.87% & 3.32% as against EBITDA & PAT margin of 8.96% & 2.73% in FY18. As per the consolidated Q1FY20 financials, revenue for Q1FY20 stood at Rs. 302.20 Crores & EBITDA margin stood at 15.10% & PAT margin at 3.34%.

| Key Parameters (Consolidated) | Units | FY19    | FY18    |
|-------------------------------|-------|---------|---------|
| Result Type                   |       | Audited | Audited |
| Total Operating Income        | ₹ Cr  | 1392.71 | 2492.70 |
| EBITDA                        | ₹ Cr  | 207.10  | 223.40  |
| PAT                           | ₹ Cr  | 46.23   | 67.95   |
| Tangible Net worth            | ₹ Cr  | 181.74  | 134.89  |
| Total Debt/Tangible Net worth | Times | 8.26    | 11.85   |
| Current Ratio                 | Times | 1.54    | 1.50    |

#### KEY FINANCIAL INDICATORS (Standalone)

On a standalone basis the company achieved TOI of Rs. 104.95 Crores EBITDA of Rs. 12.38 Crores, PAT of Rs. 8.94 Crores. As per Q1FY20, the company has achieved TOI of Rs. 18.47 Crores, EBITDA of Rs. 5.26 Crores & PAT of Rs. 1.81 Crores.

| Key Parameters (Standalone)   | Units | FY19    | FY18    |
|-------------------------------|-------|---------|---------|
| Result Type                   |       | Audited | Audited |
| Total Operating Income        | ₹ Cr  | 104.95  | 145.54  |
| EBITDA                        | ₹ Cr  | 12.38   | 19.89   |
| PAT                           | ₹ Cr  | 8.94    | 10.16   |
| Tangible Net worth            | ₹ Cr  | 32.63   | 23.59   |
| Total Debt/Tangible Net worth | Times | 6.42    | 8.96    |
| Current Ratio                 | Times | 1.93    | 1.54    |

**KEY COVENANTS OF THE INSTRUMENT/FACILITY RATED: NA**

**NON-COOPERATION WITH PREVIOUS RATING AGENCY IF ANY: NA**

## RATING HISTORY

| Instrument /<br>Facilities                                              | Current Rating                       |                  |                                            | Rating History       |      |      |
|-------------------------------------------------------------------------|--------------------------------------|------------------|--------------------------------------------|----------------------|------|------|
|                                                                         | Tenure<br>(Long Term/<br>Short Term) | Amount<br>(₹ Cr) | Rating                                     | 4th December<br>2017 | FY17 | FY16 |
| Term Loan                                                               | Long Term                            | 49.50            | BWR BBB-<br>(Stable)<br>(Reaffirmed)       | BWR BBB-<br>(Stable) |      |      |
| Cash Credit                                                             | Long Term                            | 25.00            | BWR BBB-<br>(Stable)<br>(Reaffirmed)       | BWR BBB-<br>(Stable) |      |      |
| Letter of Credit                                                        | Short Term                           | (21.00)          | BWR A3<br>(Reaffirmed)                     | BWR A3               |      |      |
| Bank<br>Guarantee                                                       | Short Term                           | (2.50)           | BWR A3<br>(Reaffirmed)                     | BWR A3               |      |      |
| <i>The rating was moved to not reviewed advisory on 06th March 2019</i> |                                      |                  |                                            |                      |      |      |
| Total                                                                   |                                      | 74.50            | INR Seventy Four Crores & Fifty Lakhs Only |                      |      |      |

## COMPLEXITY LEVELS OF THE INSTRUMENTS

For more information, visit [www.brickworkratings.com/download/ComplexityLevels.pdf](http://www.brickworkratings.com/download/ComplexityLevels.pdf)

### Hyperlink/Reference to applicable Criteria

- [General Criteria](#)
- [Approach to Financial Ratios](#)
- [Manufacturing Companies](#)



| Analytical Contacts                                                                                                                                                                                                                                               | Investor and Media Relations                                                                                                              |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|
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**SVP Global Ventures Ltd**

**ANNEXURE I**

**Details of Bank Facilities rated by BWR**

| <b>Sl. No.</b> | <b>Name of the Bank</b>                                                   | <b>Type of Facilities</b> | <b>Long Term (₹ Cr)</b> | <b>Short Term (₹ Cr)</b> | <b>Total (₹ Cr)</b> |
|----------------|---------------------------------------------------------------------------|---------------------------|-------------------------|--------------------------|---------------------|
| 1.             | Rajasthan State Industrial Development and Investment Corporation Limited | Term Loan                 | 49.50                   | -                        | 49.50               |
| 2.             | Indian Bank                                                               | Long Term                 | 25.00                   | (23.50)                  | 25.00               |
| <b>TOTAL</b>   |                                                                           |                           |                         |                          | 74.50               |

**Total Rupees Seventy Four Crores & Fifty Lakhs only.**

**ANNEXURE III**

**List of entities consolidated**

| <b>Name of Entity</b>        | <b>% ownership</b> | <b>Extent of consolidation</b> | <b>Rationale for consolidation</b>                                       |
|------------------------------|--------------------|--------------------------------|--------------------------------------------------------------------------|
| Citron Infraprojects Limited | 99.90%             | Full consolidation             | Analytical approach is based on standalone as well as consolidated basis |
| Platinum Textiles Limited    | 99.90%             | Full consolidation             |                                                                          |

|                                                       |        |                    |  |
|-------------------------------------------------------|--------|--------------------|--|
| Helios Exports Limited                                | 99.60% | Full consolidation |  |
| Helios Mercantile Limited                             | 99.41% | Full consolidation |  |
| Shri Vallabh Pittie Industries Limited                | 61.92% | Full consolidation |  |
| SV Pittie Global Corporation                          | 73.44% | Full consolidation |  |
| SVP Textile PLC                                       | 90.38% | Full consolidation |  |
| Shri Vallabh Pittie Textiles Jhalawar Private Limited | 99.90% | Full consolidation |  |
| SV Pittie Trading FZC LLC, Oman                       | 99.99% | Full consolidation |  |

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